

People Analytics

KPI Reference Guide

Hire-to-Retire Analytics Dataset • 27 KPIs across 5 categories • B1 English level

How to read this guide

Indicator	Leading = tells you something BEFORE a problem happens. Lagging = tells you something AFTER it happened.
Level	Strategic = used for big company decisions. Operational = used for everyday team management.
Benchmarkable	Yes = you can compare this number with other companies. Internal only = you can only compare it inside your own company.
What is it?	A simple explanation of the KPI in easy words.
Why does it matter?	The reason why this KPI is important for the company.
What action?	The decision or action this KPI should help you make.
Benchmark / Target	The number or range to aim for. If no external data exists, a recommended internal target is given.

TALENT ACQUISITION • 8 KPIs

1. Days to Fill

Indicator: Lagging	Level: Strategic	Benchmarkable: Yes — external benchmark available	
What is it?	The number of days from when a job is opened to when a new employee starts. In this dataset, it is between 60 and 120 days.		
Why does it matter?	It helps you understand how fast or slow your hiring process is. A long time means the company loses money because the job is empty.		
What action should it drive?	If Days to Fill is too long, look at which steps in hiring take the most time and try to make them faster.		
Benchmark / Target	Industry average is around 30-45 days. This dataset uses 60-120 days on purpose to show a quality-first approach.		

2. Sourcing Cost

Indicator: Lagging	Level: Operational	Benchmarkable: Yes — external benchmark available	
What is it?	The amount of money spent to find one candidate. This includes costs for job websites, agencies, or referral bonuses.		

Why does it matter?	It helps compare which channels (ways to find people) are cheap and which are expensive.
What action should it drive?	Compare Sourcing Cost for each channel to decide where to spend your hiring budget.
Benchmark / Target	Agency hires usually cost the most (\$10,000+). Employee referrals usually cost the least (\$1,000-\$3,000).

3. Opportunity Cost of Vacancy

Indicator: Lagging	Level: Strategic	Benchmarkable: Internal only	
What is it?	The money a company loses every day a job position is empty. It is calculated as: Days to Fill x (Average Revenue per Employee / 250 working days).		
Why does it matter?	It makes the cost of slow hiring very clear. In this dataset, one empty job for 90 days costs about \$66,600.		
What action should it drive?	Use this number to show managers why faster hiring saves money. Total cost across all hires in this dataset is over \$49 million.		
Benchmark / Target	No standard industry benchmark. This is calculated using your own company revenue data.		

4. Quality-Adjusted ROI by Channel

Indicator: Lagging	Level: Strategic	Benchmarkable: Internal only	
What is it?	A score that shows which hiring channel gives you the best quality employees for the money spent.		
Why does it matter?	Some channels cost more but bring better employees. This KPI helps you find which channels are truly worth it.		
What action should it drive?	Calculate: Quality Index of hired employee divided by total cost of hiring them. Employee referrals usually score best.		
Benchmark / Target	No industry standard. Compare channels within your own organisation.		

5. Quality Index

Indicator: Leading	Level: Strategic	Benchmarkable: Internal only	
What is it?	A combined score (0-100) made from three things: Skill Score, Culture Score, and Potential Score. It is the average of all three.		
Why does it matter?	It is the most important predictor of how well an employee will perform later. The correlation with performance is very strong ($r = 0.81$).		
What action should it drive?	Use Quality Index to predict future performance. Employees with a high score (above 70) will likely perform well.		
Benchmark / Target	Internal measure only. No external benchmark available.		

6. Skill Score

Indicator: Leading	Level: Operational	Benchmarkable: Internal only	
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What is it?	A score (0-100) for how good a new employee is at their job from day one. It measures technical ability and knowledge.
Why does it matter?	A higher Skill Score means the employee can do their work well quickly and needs less training at the start.
What action should it drive?	Use Skill Score to predict KPI Achievement and Quality of Work. Prioritize it for roles that need immediate high performance.
Benchmark / Target	Internal only. Most hires score between 60-85 in this dataset (right-skewed distribution).

7. Culture Score

Indicator: Leading	Level: Strategic	Benchmarkable: Internal only
What is it?	A score (0-100) that shows how well a new employee matches the company's values, team style, and way of working.	
Why does it matter?	This is the strongest predictor of whether an employee will stay or leave. More important than Skill or Potential for retention.	
What action should it drive?	Prioritize Culture Score in hiring. Employees with low Culture Scores (below 70) disengage faster and leave sooner.	
Benchmark / Target	Internal only. Target hiring employees with Culture Score above 70 to reduce attrition risk.	

8. Potential Score

Indicator: Leading	Level: Operational	Benchmarkable: Internal only
What is it?	A score (0-100) showing how much an employee can grow, learn new skills, and become a leader in the future.	
Why does it matter?	High Potential Score employees learn faster and get promoted more. They are good long-term investments for the company.	
What action should it drive?	Use Potential Score to identify future leaders early. Pair high-potential employees with good managers and development programs.	
Benchmark / Target	Internal only. Distribution is nearly symmetric in this dataset (mean ~50).	

PERFORMANCE MANAGEMENT • 5 KPIs

9. KPI Achievement

Indicator: Lagging	Level: Strategic	Benchmarkable: Yes — external benchmark available
What is it?	The percentage of quarterly work targets that an employee meets. Scored from 0 to 100. Collected every three months.	
Why does it matter?	This is the main way to measure if an employee is doing their job well. But be careful - low scores can be caused by a bad manager, not a bad employee.	

What action should it drive?	Do not judge employees only by this score. Always check if they have a poor manager before making decisions about performance.
Benchmark / Target	Healthy organisations target above 70. Scores below 40 on average trigger an involuntary exit in this dataset.

10. Quality of Work

Indicator: Lagging	Level: Operational	Benchmarkable: Internal only
What is it?	A score (0-100) that shows how good the work is that an employee produces each quarter. It is a subjective rating.	
Why does it matter?	It measures the quality of output, not just whether targets were met. Strongly connected to the employee's Skill Score ($r = 0.65$).	
What action should it drive?	Use alongside KPI Achievement for a full picture. An employee can meet targets but have low quality - or vice versa.	
Benchmark / Target	Internal only. Can be suppressed by poor managers by 15-30 points.	

11. Skill Acquisition Score

Indicator: Leading	Level: Operational	Benchmarkable: Internal only
What is it?	A score (0-100) showing how many new skills an employee learns in each quarter. Connected to their Potential Score ($r = 0.60$).	
Why does it matter?	It tracks whether high-potential employees are actually growing. Low scores for high-potential people can mean they are not getting good opportunities.	
What action should it drive?	Monitor this score for employees with high Potential Scores. If it is low, check if the manager is supporting their development.	
Benchmark / Target	Internal only. Compare across departments to find where learning culture is strongest.	

12. Management Noise Rate

Indicator: Leading	Level: Strategic	Benchmarkable: Internal only
What is it?	The percentage of good employees (Quality Index above 70) whose performance scores are lower than expected because of a bad manager. About 8% of records are affected.	
Why does it matter?	This shows how much manager quality affects performance data. Without this KPI, you might blame good employees for problems caused by bad managers.	
What action should it drive?	Identify managers with high noise rates and investigate. This KPI is key for fair performance reviews and promotion decisions.	
Benchmark / Target	Target: below 5%. This dataset has ~8% of high-quality hires affected by poor management.	

13. Culture Save Rate

Indicator: Leading	Level: Operational	Benchmarkable: Internal only
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What is it?	The percentage of employees with low technical skills who still perform well because of their strong cultural fit and team relationships.
Why does it matter?	It shows that cultural fit can protect performance even when skills are low. About 6% of low-quality hires survive this way.
What action should it drive?	Do not exit employees based only on low Skill Score. Check if they have a high Culture Score - they may still contribute positively.
Benchmark / Target	Internal only. Healthy rate is around 5-8% of all employees.

ENGAGEMENT & RETENTION • 6 KPIs

14. Average Monthly Pulse Score

Indicator: Leading	Level: Strategic	Benchmarkable: Yes — external benchmark available	
What is it?	The average of all monthly engagement survey results for an employee during their time at the company. Scored 0 to 100.		
Why does it matter?	It shows the overall level of happiness and engagement at work. Employees with low Culture Scores have faster declining pulse scores.		
What action should it drive?	Track this score over time. A falling average is a warning sign before the employee leaves. Act early with support or conversation.		
Benchmark / Target	Industry healthy range: 65-75. Scores starting below 50 or falling quickly are warning signs.		

15. Last Pulse Score

Indicator: Leading	Level: Strategic	Benchmarkable: Internal only	
What is it?	The most recent monthly engagement survey score for an employee. It is the last data point recorded.		
Why does it matter?	This is the single strongest short-term warning sign for who might leave soon. Scores below 40 increase the chance of leaving by 15%.		
What action should it drive?	Create automatic alerts when any employee's Last Pulse Score falls below 40. Act immediately with a manager conversation or support.		
Benchmark / Target	Internal threshold: below 40 = high flight risk. Target: keep all employees above 60.		

16. Promotion Count

Indicator: Lagging	Level: Operational	Benchmarkable: Yes — external benchmark available	
What is it?	The total number of times an employee has been promoted since joining the company. Maximum is 3 in this dataset.		
Why does it matter?	Promotions show that the company recognizes good work. Low promotions for high-potential employees can cause them to leave.		

What action should it drive?	Compare Promotion Count with Potential Score. If high-potential employees have zero promotions after 2+ years, investigate and act.
Benchmark / Target	Industry average: 1 promotion every 2-3 years. Compare against your own internal career path data.

17. Total Comp vs Market

Indicator: Leading	Level: Strategic	Benchmarkable: Yes — external benchmark available	
What is it?	A ratio that compares an employee's total pay to the average market pay for the same job. A score of 1.0 means they are paid exactly the market rate.		
Why does it matter?	Employees paid below 90% of the market (score below 0.90) are 10% more likely to leave. Biased managers can reduce this score unfairly.		
What action should it drive?	Monitor all employees below 0.90. Review pay for employees managed by flagged biased managers, as they may be underpaid unfairly.		
Benchmark / Target	Target: keep all employees at or above 0.90. Best practice is 1.0-1.10 (at or above market).		

18. Termination Rate

Indicator: Lagging	Level: Strategic	Benchmarkable: Yes — external benchmark available	
What is it?	The percentage of employees who have left the company in a given period. In this dataset it ranges from 30% to 45%.		
Why does it matter?	It is the main output that shows how well the company keeps its employees. High rates are expensive and disruptive.		
What action should it drive?	Break down termination rate by department, manager, and exit reason. Find patterns and address the root causes.		
Benchmark / Target	Average across industries: 15-20% per year. Rates above 25% signal a serious retention problem.		

19. Exit Reason Distribution

Indicator: Lagging	Level: Operational	Benchmarkable: Yes — external benchmark available	
What is it?	A breakdown of why employees left the company. Categories include: voluntary (chose to leave), involuntary (asked to leave), and retirement.		
Why does it matter?	It helps you understand if people are leaving by choice or being fired. Voluntary exits often signal pay or engagement problems.		
What action should it drive?	High voluntary exit rates point to culture or compensation issues. High involuntary exits point to hiring quality or training gaps.		
Benchmark / Target	Healthy organisations: less than 10% involuntary, less than 15% voluntary attrition per year.		

MANAGER EFFECTIVENESS • 3 KPIs

20. Poor Manager Rate

Indicator: Leading	Level: Strategic	Benchmarkable: Yes — external benchmark available	
What is it?	The percentage of managers who make their team perform worse than expected, based on employee quality. About 10% of managers (6 of 60) are in this category.		
Why does it matter?	A poor manager can reduce a good employee's performance score by 15-30 points and increases the chance of that employee leaving by 10%.		
What action should it drive?	Identify poor managers by looking for teams with low KPI scores despite having high-quality employees. Offer coaching or reassignment.		
Benchmark / Target	Target: below 5% of managers. Above 10% is a serious organisational problem.		

21. Biased Manager Rate

Indicator: Leading	Level: Strategic	Benchmarkable: Internal only	
What is it?	The percentage of managers who unfairly give lower scores or lower pay to employees from certain hiring channels. About 5% of managers (3 of 60) show this pattern.		
Why does it matter?	Bias in scoring and pay is unfair and can lead to legal problems. It also makes your performance data less accurate and less trusted.		
What action should it drive?	Run a bias audit. Compare KPI scores and pay ratios by hiring channel, split by manager. Biased managers will show a clear gap.		
Benchmark / Target	Target: 0%. Any confirmed bias is unacceptable and needs immediate action.		

22. Manager-Adjusted Team KPI

Indicator: Lagging	Level: Strategic	Benchmarkable: Internal only	
What is it?	The average team performance score adjusted for the quality of employees in that team. It shows how much the manager adds or removes from performance.		
Why does it matter?	Without this adjustment, a manager with great employees looks good even if they are actually hurting performance. This makes comparison fair.		
What action should it drive?	Calculate: Average Team KPI minus what you would expect based on the team's average Quality Index. Low scores despite high-quality teams = poor manager.		
Benchmark / Target	Internal only. The gap between expected and actual team KPI is the key signal to watch.		

WORKFORCE COST • 2 KPIs

23. Total Cost of Acquisition

Indicator: Lagging	Level: Strategic	Benchmarkable: Yes — external benchmark available
What is it?	The full cost to hire one employee. It adds Sourcing Cost (money to find the candidate) and Opportunity Cost (money lost while the job was empty).	
Why does it matter?	It gives the true cost of each hire. Many companies only count Sourcing Cost and miss the much larger Opportunity Cost.	
What action should it drive?	Use this to compare channels and business cases. Reducing Days to Fill by even 15 days across all hires can save millions.	
Benchmark / Target	Varies by role and seniority. Senior roles can exceed \$100,000 in total acquisition cost.	

24. Base Salary Distribution

Indicator: Lagging	Level: Operational	Benchmarkable: Yes — external benchmark available
What is it?	The range and spread of base salaries across all employees. In this dataset, salaries range from \$60,000 to \$210,000 per year depending on the role and department.	
Why does it matter?	It helps check if pay is fair across departments and roles. It also shows if salary bands are being applied correctly.	
What action should it drive?	Look for employees in the same role with very different salaries. Investigate gaps and check for bias in compensation decisions.	
Benchmark / Target	Compare against external salary surveys (e.g. LinkedIn Salary, Glassdoor, Radford). Note: does not include bonus or equity.	

NEW — PREVIOUSLY MISSING KPIS • 3 KPIs

25. Quality-Performance Correlation Coefficient

Indicator: Leading	Level: Strategic	Benchmarkable: Yes — external benchmark available
What is it?	A number (r) that shows how strongly the Quality Index at hiring time predicts the employee's performance later. In this dataset, $r = 0.806$, which is very strong.	
Why does it matter?	This is a meta-KPI for your whole People Analytics team. If this number drops over time, it means your hiring quality tests are no longer working well.	
What action should it drive?	Recalculate this number every year. If it falls below 0.60, review your hiring assessment methods and quality scoring.	
Benchmark / Target	Good range: $r = 0.60-0.80$. Above 0.80 is excellent. Below 0.50 suggests your quality assessments need improvement.	

26. Attrition Hazard Rate

Indicator: Leading	Level: Strategic	Benchmarkable: Yes — external benchmark available
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What is it?	The probability that an employee will leave at any given moment in their career at the company. It is calculated using a statistical method called survival analysis (Cox regression).
Why does it matter?	It is the most powerful way to predict who will leave soon. It uses Culture Score, Pulse Score, pay vs market, and manager quality together.
What action should it drive?	Build a Cox regression model with all four main risk factors. Use the output hazard rate to create a flight risk score for every employee.
Benchmark / Target	An employee is high risk if their hazard rate is 2x or more than the company average for their tenure group.

27. Workforce Planning Cost Simulation

Indicator: Lagging	Level: Strategic	Benchmarkable: Internal only
What is it?	A calculation that shows how much money the company could save if it fills jobs faster. Formula: (Revenue per Employee / 250) x Days Saved x Number of Future Hires.	
Why does it matter?	It makes the business case for investing in faster or better recruiting. Even saving 15 days per hire across 100 hires saves over \$1.1 million.	
What action should it drive?	Run this simulation before every annual hiring plan. Present it to leadership to get budget approval for recruiting improvements.	
Benchmark / Target	Internal only. Depends on your revenue per employee and planned headcount growth.	

Quick Reference Summary

#	KPI Name	Category	Indicator	Level	Benchmark
1	Days to Fill	Talent Acquisition	Lagging	Strategic	Yes
2	Sourcing Cost	Talent Acquisition	Lagging	Operational	Yes
3	Opportunity Cost of Vacancy	Talent Acquisition	Lagging	Strategic	Internal only
4	Quality-Adjusted ROI by Channel	Talent Acquisition	Lagging	Strategic	Internal only
5	Quality Index	Talent Acquisition	Leading	Strategic	Internal only
6	Skill Score	Talent Acquisition	Leading	Operational	Internal only
7	Culture Score	Talent Acquisition	Leading	Strategic	Internal only
8	Potential Score	Talent Acquisition	Leading	Operational	Internal only
9	KPI Achievement	Performance Mgmt	Lagging	Strategic	Yes
10	Quality of Work	Performance Mgmt	Lagging	Operational	Internal only

11	Skill Acquisition Score	Performance Mgmt	Leading	Operational	Internal only
12	Management Noise Rate	Performance Mgmt	Leading	Strategic	Internal only
13	Culture Save Rate	Performance Mgmt	Leading	Operational	Internal only
14	Average Monthly Pulse Score	Engagement & Ret.	Leading	Strategic	Yes
15	Last Pulse Score	Engagement & Ret.	Leading	Strategic	Internal only
16	Promotion Count	Engagement & Ret.	Lagging	Operational	Yes
17	Total Comp vs Market	Engagement & Ret.	Leading	Strategic	Yes
18	Termination Rate	Engagement & Ret.	Lagging	Strategic	Yes
19	Exit Reason Distribution	Engagement & Ret.	Lagging	Operational	Yes
20	Poor Manager Rate	Manager Effectiveness	Leading	Strategic	Yes
21	Biased Manager Rate	Manager Effectiveness	Leading	Strategic	Internal only
22	Manager-Adjusted Team KPI	Manager Effectiveness	Lagging	Strategic	Internal only
23	Total Cost of Acquisition	Workforce Cost	Lagging	Strategic	Yes
24	Base Salary Distribution	Workforce Cost	Lagging	Operational	Yes
25	Quality-Performance Correlation Coefficient	New	Leading	Strategic	Yes
26	Attrition Hazard Rate	New	Leading	Strategic	Yes
27	Workforce Planning Cost Simulation	New	Lagging	Strategic	Internal only